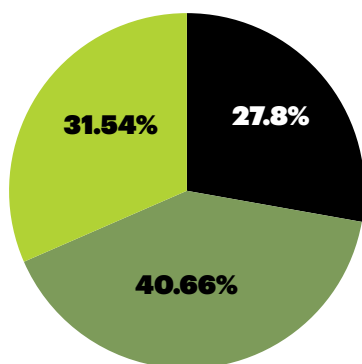


cussing on getting more registrations on the portal to help percolate the benefits of schemes to MSMEs,” says a senior official from the MSME ministry. “The biggest issues are the formalisation gap, credit gap and the need for handholding for technological support. We believe these are opportunities,” says the official, who declined to be identified. Government data shows that more and more MSMEs are moving towards registering on the portal, which assigns them a permanent identity number. This enables them to avail facilities such as PSL, collateral-free loans, subsidy for patent registration

and machinery of not more than ₹1 crore and annual turnover of not more than ₹5 crore; small enterprises (₹10 crore; up to ₹50 crore); and medium businesses (₹50 crore; up to ₹250 crore). But MSMEs can range from one running a boutique from home to a company that manufactures electrical transformers. Rajendra Agrawal, Lok Sabha MP from Meerut and Convenor of a forum of MPs across party lines called Friends of MSMEs, says it is necessary to classify MSMEs “not only capital-wise but also industry wise”. Khandelwal says

SEGMENT SHARE IN TOTAL LOANS



○ MICRO ○ SMALL ○ MEDIUM

DATA FOR Q4FY23

SOURCE CAREEDGE RATINGS, SIDBI AND TRANSUNION CIBIL, MSME PULSE

THE NUMBERS STORY

181.5
MILLION
Number of
people the MSME
sector employs

40.7
MILLION
Total number
of classified
MSMEs

40
MILLION
Total number
of micro
enterprises

610,685
Total number of small
enterprises

55,589
Total number of medium
enterprises

DATA AS OF MARCH 24, 2024 SOURCE UDYAM PORTAL

and lower electricity charges.

A total of 40.7 million businesses are registered on the Udyam and Udyam Assist Platform (that registers informal micro enterprises) and they cumulatively employ more than 181.5 million people, as of March 24, 2024. In July 2021, retail and wholesale traders were also allowed to register on the portal, but only for PSL. Experts say that given the diverse entities that form the sector, there is a need for more clarity on what constitutes an MSME. This would also help in better percolation of policies to the grassroots.

The composite criteria to qualify as an MSME is linked to investment in plant and machinery and annual turnover. Micro units can have investment in plant

wholesale and retail traders would like to be included in the overall definition for more benefits.

Given the complex and diverse nature of many of these problems, finding solutions may take time. But a common thread running through all these businesses is that of optimism, grit, and the belief that they can grow and do well with the right kind of support. If they manage to make their way out of this labyrinth of problems, these businesses could very well be the building blocks on which India can become an economic superpower. **BT**

(With inputs from Ashish Rukhaiyar)

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